

FEDERAL MARITIME COMMISSION

M/S PARSONS OVERSEAS,

Claimant,

v.

SEVEN SEAS SHIPPING USA, INC.,

Respondent.

Informal Docket
No. 1960(I)

Served: March 7, 2019

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*, Rebecca F. DYE, Daniel B. MAFFEI, and Louis E. SOLA, *Commissioners*. Commissioner MAFFEI filed a concurring opinion.

Order Vacating and Remanding Decision

On July 9, 2018, the Small Claims Officer (SCO) found that Respondent violated 46 U.S.C. § 41102(c) when it: (a) released Claimant's cargo to an unauthorized party based on unauthorized bills of lading created by Respondent's agent; and (b) misled Claimant about the status of the cargo. SCO Decision at 23-24. In so finding, the SCO relied on the Commission's decision in *Bimsha Int'l v. Chief Cargo Services, Inc.*, 32 S.R.R. 1861, 1866 (FMC 2013), which provides, among other things, that non-vessel-

operating common carriers (NVOCCs) violate § 41102(c) “when they fail to fulfill NVOCC obligations, *through single or multiple actions or mistakes*, and therefore engage in an unjust and unreasonable practice.” SCO Decision at 23 (emphasis added).

This interpretation of § 41102(c), however, insofar as it holds that discrete conduct with respect to a single shipment may constitute a violation of the statute, runs contrary to the original intent of Congress, the rules of statutory construction, and Commission precedent. *See, e.g.*, Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 45367-45372 (Sept. 7, 2018).¹

Properly interpreted, and consistent with pre-2010 Commission precedent, § 41102(c) applies to acts or omissions that occur on a normal, customary, and continuous basis. 83 Fed. Reg. at 64479; 83 Fed. Reg. at 45369-70, 45372; *see also* 46 C.F.R. § 545.4(b). Here, SCO did not consider whether Respondent’s conduct satisfies that standard.

Consequently, the Commission **VACATES** the Decision and **REMANDS** this matter to the SCO for consideration of the § 41102(c) claims in light of the Commission’s revised interpretation.

By the Commission.

Rachel E. Dickon
Secretary

¹ The SCO also cited *Adair v. Penn-Nordic Lines*, 26 S.R.R. 11 (ALJ 1991). SCO Decision at 24. *Adair*, like *Bimsha Int’l*, is part of a line of Commission decisions that adopted an unduly expansive interpretation of § 41102(c). *See* 83 Fed. Reg. at 45370 & nn. 32 & 34.

Commissioner Maffei, concurring:

I must note that I disagree with the interpretation of 46 U.S.C. § 41102(c) contained in interpretive rule 46 C.F.R. § 545.4 adopted on December 17, 2018. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17, 2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018). A full discussion of the issues and my reasoning for my interpretation of 46 U.S.C. § 41102(c) are set forth in my concurring opinion in *Gruenberg-Reisner v. Respondent Overseas Moving Specialists*, 34 S.R.R. 613, 626-32 (FMC 2016).

However, unless and until a majority of the Commission chooses to change the interpretive rule, the rule is struck by appellate bodies, or clarifying legislation enacted, I concur with the recommendation.